individual foreign investment in their share market. As the Indian security market was learning the art of regulation in its nascent phase, the government decided not to allow such foreign investment. The logic was vindicated after the S.E. Asian currency crisis when India had almost no shocks ***(Economic Survey, 1996–97,*** GoI, N. Delhi***).***

33. The delayed action by the government in the foreign exchange liberalisation was due to the delayed comfort the economy felt regarding the availability of foreign exchange.
34. This was another hurdle which the private sector industries have been complaining about. As the industrial products were completely new to the Indian market and its consumers alike, the government followed this policy with the logic to provide enough time so that the products become domesticised i.e.development of awareness about the product and its servicing, maintenance, etc. As for example the MNC subsidiary Phillips India was allowed to produce a highly simple radio ***Commandar*** and ***Jawan*** models for comparatively longer periods of time then they were allowed to come up with the smaller fashionable radio sets or two-in-ones and three-in-ones. Such provisions hampered their full capacity utilisation as well as achieving the economy of scale had also been tougher. The new industrial policy of 1991 did away with such impediments. By that time, the Indian consumer as well as the market was fully aware of the modern industrial goods.
35. Combined with nationalisation, this ***indirect route*** to nationalisation failed to provide the confidence among the entrepreneurs that the industrial units they are intending to set up will be owned by them. This discouraged the entrepreneurship of India while taking risk. The abolition of this compulsion was an indirect indication by the government of no more direct or indirect nationalisation in future. This has served the purpose, there is no doubt in it.
36. This nexus of the interests of the vested groups to the control regime of the economy has been beautifully elaborated by **Rakesh Mohan** in ***Industrial Policy and Controls*** in the **Bimal Jalan** edited ***The Indian Economy: Problems & Prospects,*** op. cit. pp. 92–123. He also points out that the control system perpetuating the academic and intellectual ideological leanings negated the very need for re-examination of the system. The ‘planners’ and the ‘bureaucrats’ were able to preserve their powers via the control regime did everything to maintain the status quo, Rakesh Mohan further adds.
37. First of the series of such suggestions came from **Sach, Varshney and Bajpai** (eds.) ***India in the Era of Economic Reforms,*** OUP, op. cit., p. 24).
38. It should be noted that ***‘reform with the human face’*** was not a new slogan or call given by the UPA Government but this was the same slogan with which the reform programme was launched by the Rao—Manmohan Government in 1991—it has only been ‘re-called back’ by the new Government with a new committment to live it up.
39. Point should be noted that **Bharat Niraman** has been the only time-bound programme of infrastructure building in rural areas which is supposed to be completed within the four years (the time left out of the total term of the Government when the programme was launched). The UPA naturally, tries to make it a political statement and a point for next General Elections —development becoming an issue of real politics! Let’s see what happens.
40. ***India 1991,*** Pub. Div., GoI, N. Delhi.
41. The de-reservation of industries had allowed the private sector to enter the areas hitherto reserved for the Central Government. It means in coming times in the unreserved areas the PSUs were going to face the international class competitiveness posed by the new private companies. To face up the challenges the existing PSUs needed new kind of technological, managerial and marketing strategies (similar to the private companies). For all such